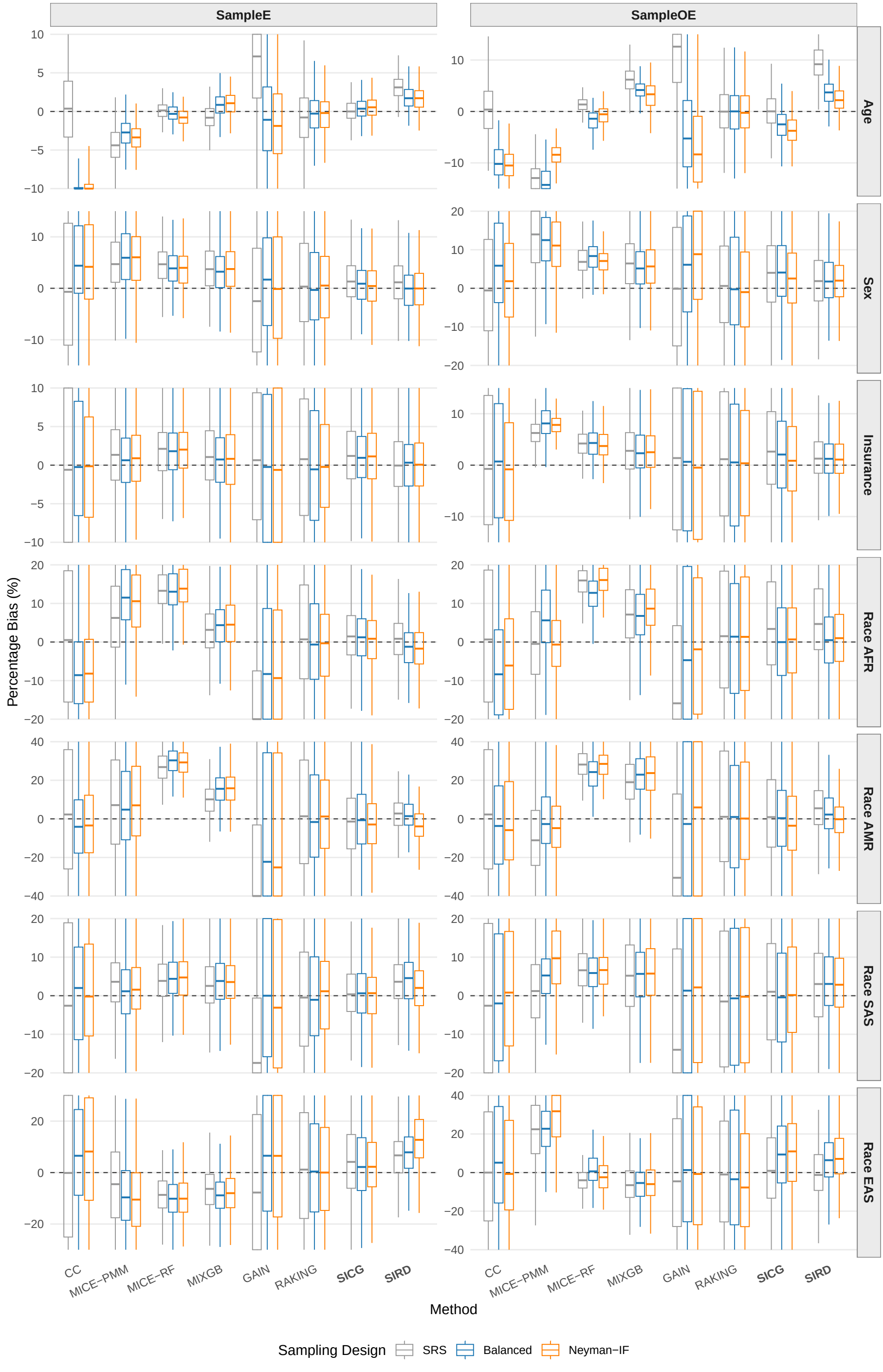Simulation Design III — Phase−One Covariates